

Business Ownership Structures

Knowledge Organiser · GCSE & A-Level Business · print-friendly A4

Every business has a legal **form of ownership**. It decides who owns the business, who is liable for its debts, how it is taxed, how it raises money and who controls decisions. This organiser maps the main UK forms with a real example for each, then the liability rule that ties them together.

Form	Owners	Liability	Legal status	Real UK example
Sole trader	One person	Unlimited	Unincorporated	A local plumber or hairdresser
Partnership	2+ partners	Unlimited*	Unincorporated	Many solicitor & dental practices
Private limited (Ltd)	Shareholders (private)	Limited	Incorporated	Gymshark Ltd, River Island
Public limited (PLC)	Shareholders (public)	Limited	Incorporated	Greggs plc, Tesco plc
Franchise	Franchisee (often Ltd)	Depends on form	Usually incorporated	McDonald's, Subway, Costa
Social enterprise	Varies / no private owner	Depends on form	Varies	The Big Issue, Divine Chocolate
Employee-owned	Staff via a trust	Limited	Incorporated	John Lewis Partnership
Co-operative / mutual	Members	Limited	Incorporated	The Co-op, Nationwide (mutual)

* An ordinary partnership has unlimited liability. A **Limited Liability Partnership (LLP)** gives partners limited liability and is incorporated.

Incorporated vs unincorporated Unincorporated = no separate legal identity; the owner <i>is</i> the business (sole trader, ordinary partnership). Incorporated = the business is a separate legal person from its owners (Ltd, PLC). It can own assets, sue and be sued in its own name.	Limited vs unlimited liability Unlimited = if the business cannot pay its debts, the owner's personal assets (home, savings) are at risk. Limited = a shareholder can only lose the money they put in. This protection is the single biggest reason businesses incorporate.
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The main forms in detail

Sole trader		GCSE & A-Level
What it is	One person owns and runs the business. The simplest, cheapest form to set up — no registration with Companies House, just register as self-employed with HMRC.	
Strengths	Full control; keep all profit after tax; quick to start; privacy (accounts not public).	
Drawbacks	Unlimited liability; hard to raise finance; heavy workload; the business often ends if the owner stops.	
Example	A self-employed plumber, hairdresser or market trader.	

Partnership		GCSE & A-Level
What it is	Two or more people own the business together, usually under a Deed of Partnership setting out profit shares and responsibilities. An LLP variant gives limited liability.	
Strengths	More skills and capital than a sole trader; shared workload and decisions; still private.	
Drawbacks	Unlimited liability (ordinary partnership); profits shared; disputes between partners; decisions can be slower.	
Example	Many solicitor, accountancy and dental practices.	

Private limited company (Ltd)		GCSE & A-Level
What it is	An incorporated company owned by shareholders. Shares are sold privately (not on a stock exchange) and cannot be traded by the public.	
Strengths	Limited liability; easier to raise capital than a sole trader; separate legal identity; owners keep control of who holds shares.	
Drawbacks	More admin and legal duties; accounts filed publicly at Companies House; profit shared as dividends.	
Example	Gymshark Ltd and River Island are well-known private companies.	

Public limited company (PLC)		GCSE & A-Level
What it is	An incorporated company whose shares are listed on a stock exchange (e.g. the London Stock Exchange) and can be bought by the public after flotation (an IPO).	
Strengths	Can raise very large amounts of capital; limited liability; high status and profile.	
Drawbacks	Expensive to float and regulate; accounts fully public; risk of takeover; divorce of ownership and control — owners (shareholders) are not the managers.	
Example	Greggs plc and Tesco plc are listed on the London Stock Exchange.	

Franchise		GCSE & A-Level
What it is	A franchisee buys the right to trade under an established brand and system. They pay an initial fee plus ongoing royalties to the franchisor.	
Strengths	Proven brand and model; training and support; lower failure risk than starting alone.	
Drawbacks	Fees and royalties cut profit; limited freedom to make changes; tied to the franchisor's rules.	
Example	McDonald's, Subway and Costa run many UK outlets as franchises.	

Social enterprise & not-for-profit		GCSE & A-Level
What it is	A business that trades to achieve a social or environmental mission; surpluses are reinvested in the cause rather than paid to private owners.	
Strengths	Clear purpose attracts staff and customers; can access grants; profit reinvested in the mission.	
Drawbacks	Harder to raise investment; must balance mission with covering costs; growth can be slower.	
Example	The Big Issue and Divine Chocolate trade for a social purpose.	

Employee-owned & co-operative		Mostly A-Level
What it is	Owned by its workers or members rather than outside shareholders. Employee-owned firms often hold shares in a trust; co-operatives are owned and run by their members (one member, one vote).	
Strengths	Staff motivation and retention; profit shared among members; long-term focus.	
Drawbacks	Slower decision-making; harder to raise outside equity; can be complex to govern.	
Example	John Lewis Partnership (employee-owned via a trust); The Co-op (member co-operative).	

Key terms to revise

Liability — Legal responsibility for a business's debts.	Limited liability — Owners can only lose the money they invested.
Unlimited liability — Owners' personal assets are at risk for business debts.	Incorporated — The business is a separate legal entity from its owners.
Share / shareholder — A unit of ownership in a company; its holder is a part-owner.	Dividend — A share of company profit paid to shareholders.
Flotation (IPO) — Selling a company's shares to the public for the first time on a stock exchange.	Dividend vs salary — Owner-managers of a company can be paid in both — affects tax.
Divorce of ownership & control — In a PLC, the owners (shareholders) are usually not the managers.	Franchisor / franchisee — Owner of the brand / the person who buys the right to use it.

Apply it in the exam

Why do businesses change structure as they grow?

A sole trader who needs more capital and protection might form a **private limited company** to gain limited liability. A large Ltd that needs millions to expand might become a **PLC** by floating on a stock exchange — trading some control for access to capital. Strong answers weigh the trade-off (finance and liability vs control, cost and public scrutiny) against the business's aims.

Spec links

A-Level — AQA 7132 §3.1.2 'Different business forms' (incl. limited liability) and Edexcel 9BS0 Theme 1.5 'Entrepreneurs and leaders'.
GCSE — AQA 8132 §3.1.2 'Business ownership'; also relevant to Edexcel GCSE 1BS0 and Cambridge IGCSE 0450.

Retrieval practice — cover the answers

1. Which two forms have unlimited liability?	Sole trader and an ordinary partnership.
2. What does 'incorporated' mean?	The business is a separate legal entity from its owners.
3. How does an Ltd differ from a PLC?	An Ltd sells shares privately; a PLC's shares are listed on a stock exchange.
4. What is the 'divorce of ownership and control'?	In a PLC, the shareholders who own it are usually not the managers who run it.
5. Name one benefit and one drawback of a franchise.	Benefit: proven brand and support. Drawback: fees/royalties and limited freedom.
6. Why might a sole trader become a private limited company?	To gain limited liability and raise capital more easily as it grows.

Common mistakes to avoid

- Saying a sole trader 'has no liability' — they have **unlimited** liability.
- Confusing Ltd and PLC — both are limited liability; the difference is **where shares are sold**.
- Thinking a PLC is 'public sector' — a PLC is privately owned; 'public' means the public can buy its shares.
- Treating 'profit reinvested' as 'makes no money' — a social enterprise can be profitable; surpluses fund the mission.

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